

No, your Social Security isn't disappearing in 2032

But depending on how Congress acts, future payouts of Social Security benefits may be smaller.



— Social Security is the primary source of retirement income for between 40% and 55% of retirees. Anticipated cuts could reduce payouts as much as 28%. Justine Goode / NBC News; Getty Images

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By Ashley Mowreader

Social Security benefits will be cut for tens of millions of retirees in late 2032, unless Congress takes action first.

In six years, officials forecast the program's trust fund will be depleted, its outstanding IOUs run dry and the payroll taxes U.S. workers contribute with each check won't be enough to sustain current benefits. At this point, beneficiaries could get as much as 20% to 30% less money in payouts.

The emptying of the trust fund is no surprise and has been expected for decades. Changing demographics means more retirees are receiving benefits, while the number of workers paying into the system has not seen the same increase.

At the same time, little has been done on Capitol Hill to address it. Recent tax cuts to Social Security income included in President Donald Trump's "[big beautiful bill](#)" have [expedited the deadline](#). But tax policy researchers say that Congress faces an uphill battle: Many proposed changes to Social Security are unpopular with Americans.

"The longer you delay, the tougher it gets," said Andrew Biggs, senior economic fellow at the American Enterprise Institute, a right-leaning think tank. "But here's the political problem: When you delay action on Social Security because you don't want to take the tough choices, guess what? The next year, those choices become even tougher."

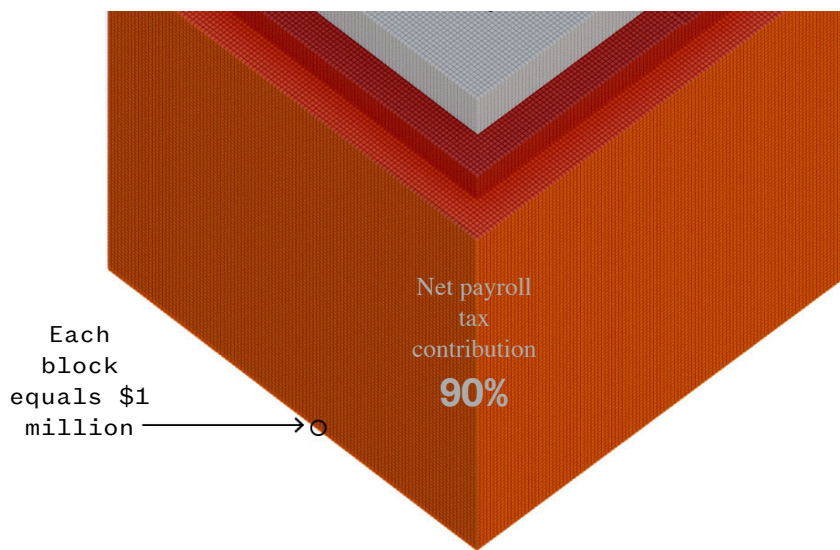
The choice to delay offers Congress one benefit: It creates an emergency that taxpayers will want fixed by any means necessary when the time comes, said Romina Boccia, director of budget and entitlement policy at the Cato Institute, a libertarian think tank. "Congress wants to wait until there's a crisis at the door and the potential for these automatic benefit cuts to have the political cover to make what will ultimately be tough choices," she said.

Social Security's primary trust fund, called the Old-Age and Survivors Insurance Trust Fund, is fueled by payroll taxes. Social Security taxes make up approximately 12% of an employee's annual earnings – of which the employee typically pays half – on up to \$184,500 of income in 2026. The trust fund benefits are paid out each year to tens of millions of beneficiaries, including retirees, disabled individuals or family members of deceased individuals.

Where Social Security gets its money

The trust fund added \$1.2 trillion in income in 2025.





Notes: Data as of 2025.

Source: Bipartisan Policy Center, Social Security Administration

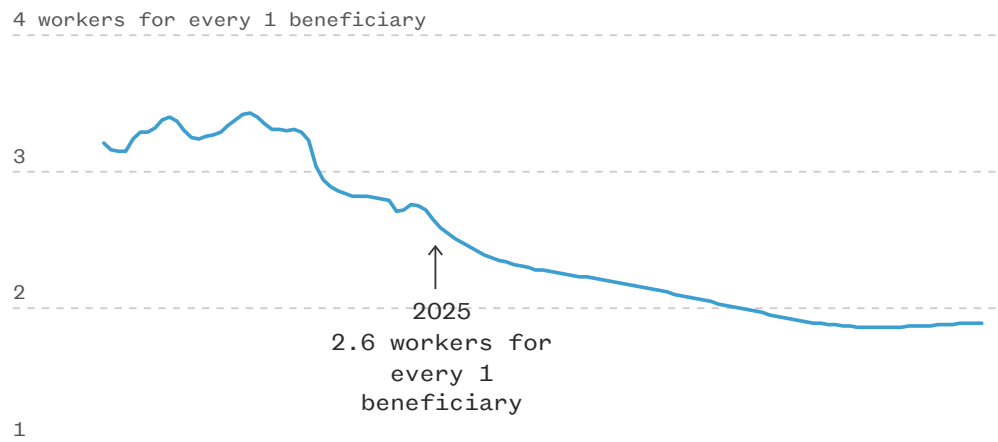
Graphic: Javier Zarracina / NBC News

Changing demographics have threatened the funding model for Social Security. The number of people receiving benefits is rising faster than the number of workers contributing to Social Security, due in part to higher [life expectancies](#), which have increased from 69.7 years in 1960 to 78.9 years in 2024, and a [declining fertility rate](#).

In 1960, there were five workers for each beneficiary, according to the [latest data from the Social Security Administration](#). As of 2025, there were about 2 1/2 workers for every one beneficiary.

Worker-to-beneficiary ratio

Since the early 2000s, the number of workers generating payroll taxes to pay out Social Security benefits has declined in comparison to those receiving benefits.



1980 2000 2020 2040 2060 2080 2100

Notes: Numbers after 2025 are projections.

Source: [Social Security Administration's 2026 trustees report](#)

Graphic: Ashley Mowreader / NBC News

Social Security, for many years, ran a surplus that was used by the Treasury to fund other government projects. This “IOU” from the Treasury was paid back with interest, which has kept Social Security’s fund stable, despite benefit payments exceeding payroll tax revenue since 2010. But by the end of 2032, Social Security will run out of Treasury bonds to cash.

At this point, the trust reaches insolvency, or the inability to pay scheduled benefits.

“That pay-as-you-go financing has some serious problems, because if your ratio of workers to retirees changes, the cost of the system can change dramatically,” Biggs said. “On the other hand, the advantage of a pay-as-you-go system is that it can’t really ever run completely out of money.”

Some Americans think of Social Security benefits as a savings account that the government holds on their behalf, said Jessica Riedl, a budget and tax fellow with the Tax Policy Center at the Brookings Institution, a center-left think tank.

But the actual logistics of Social Security are trickier, Riedl and other economists explained.

“The fiscal reality is that benefits are paid from today’s workers, from the payroll taxes that you and I pay today, and there was nothing saved by the generation of today’s retirees on their behalf,” Boccia said. “It’s money in, money out.”

Others consider Social Security an “earned benefit,” Boccia said. However, the Social Security Administration is under no obligation to pay people who contribute to it, as determined in [a 1960 Supreme Court decision](#).

In other words, insolvency is not the trust fund reaching zero; it’s the point at which the fund is unable to pay benefits in full.

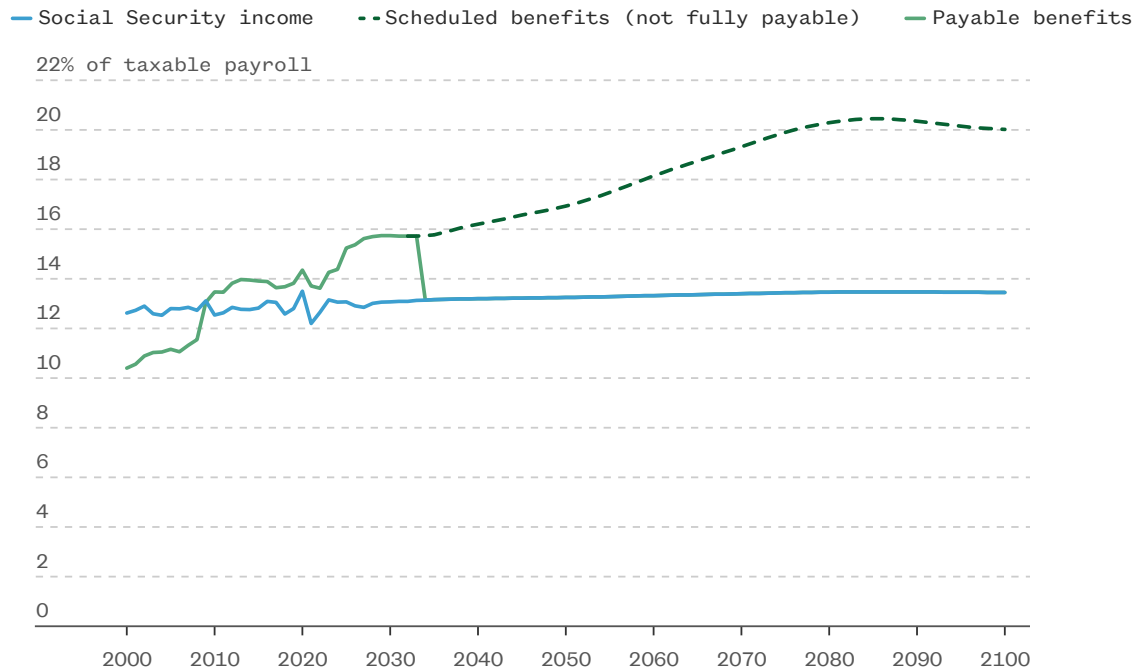
The average American would expect to see their [promised benefits decline by 22%](#), or about 78 cents on the dollar, said Shai Akabas, vice president of economic policy for the Bipartisan Policy Center. The Congressional Budget Office placed [the anticipated decline at 28%](#), which would make the benefit cuts even larger.

Currently, Social Security retirement beneficiaries receive an average of \$2,031 each month. Assuming a 3.7% cost-of-living increase each year, benefits in 2032 would average

\$2,526 a month. After reaching insolvency in 2032, at a 22% reduction, recipients would be down to an average of \$1,970 per month.

Social Security will soon be unable to pay all benefits

Since 2010, the amount of money – measured in terms of the percent of taxable payroll income it receives – Social Security has added to its retirement trust fund is less than what it has paid out.



Notes: Data after 2025 is projected. Social Security income does not include accrued interest.

Source: [Social Security Administration 2026 trustees report](#)

Graphic: Ashley Mowreader / NBC News

[More than 70 million Americans](#) received Social Security benefits in 2025, and the agency expects [75 million to receive benefits this year](#). Eighty percent of beneficiaries are retirees and their dependents; the remainder are those on disability or who have a deceased family member.

Insolvency “would be disastrous for many Americans” currently receiving benefits, as well as the millions of workers expecting Social Security returns after retiring, Akabas said.

Surveys put the percentage of retirees who count on Social Security as their primary source of income between 40% and 55%.

The number of years until insolvency has shortened, due to the latest budget reconciliation bill, also called the “big, beautiful bill,” and the rising cost of healthcare,

according to reports from the Social Security Administration trustees.

If congressional action is not taken, Social Security income over the next 75 years will [fall short by more than \\$30 trillion](#), leaving the agency with few choices on how to proceed.

“The longer Congress waits, the larger the ultimate sacrifices that will have to be made, whether that’s higher tax increases, additional borrowing, or steeper and more sudden benefit cuts,” Boccia said. “The assumption is that Congress would not put Social Security in that position. It might be within mere weeks or days of the trust fund running out, but Congress will likely act.”

The lack of progress is due partially to a lack of bipartisanship: Social Security reforms will need at least 60 votes in the Senate, but neither party holds a majority that large, Akabas said.

Potential reform is made even stickier because any changes directly affect Americans’ lives and their livelihoods, Akabas said. “This is really the baseline of retirement security for tens of millions of Americans, and so any change triggers concerns,” he said.

That makes Social Security reform a policy issue that lawmakers are eager to ignore.

“Lawmakers are absolutely terrified of Social Security politics,” Riedl said. “The minute you talk about Social Security reform, the American people hear benefit cuts, the interest groups mobilize, the television ads appear and the candidate gets buried.”

But, due to decades of inaction, future generations are left with an unfunded \$30 trillion liability from 2032 to 2100, Biggs said.

Economists told NBC News there are three primary levers that lawmakers could pull to address the funding gap: increasing the taxable income, raising retirement age or reducing benefits for future recipients. None of these changes, however, are popular with voters.

A [2024 Pew Research Center study](#) found 79% of U.S. adults said they believe benefits should not be reduced in any way, and of these respondents, half said Social Security should cover more people with greater benefits.

“People still believe that Social Security can be fixed without any pain for anybody,” Riedl said. “And as long as people believe that, they’re not going to accept any painful solution.”

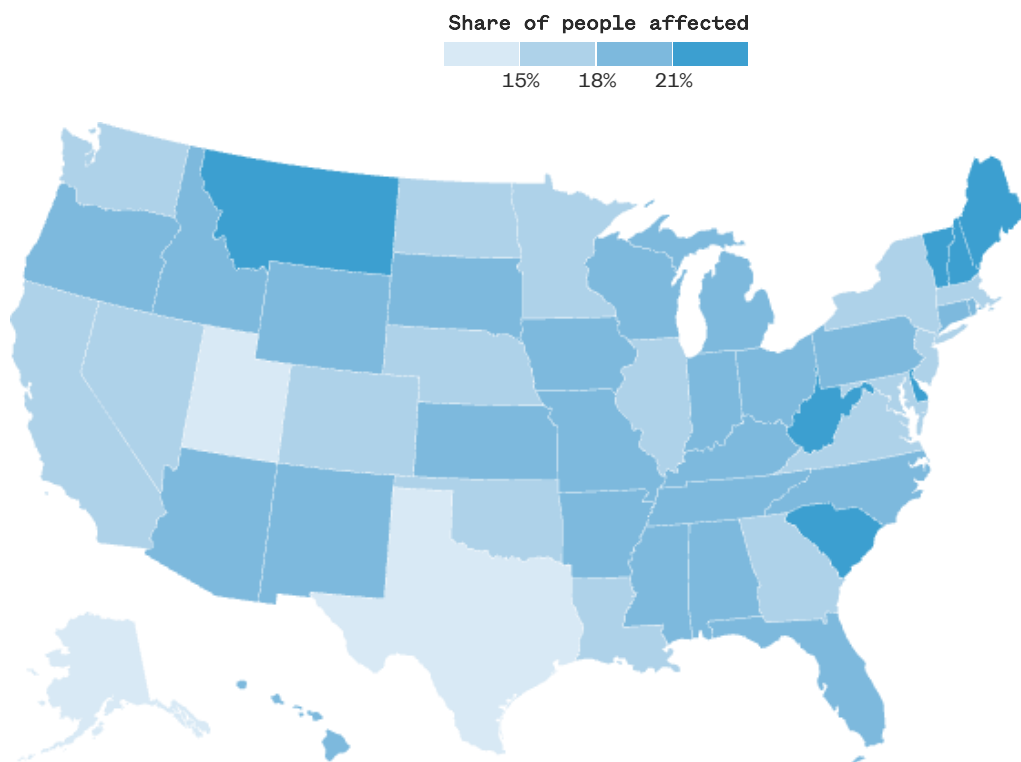
Regardless of their sentiments of Social Security reform, the next elected senators and president will have to be the ones to make a change or risk funds running out.

“For the people who care about the future of Social Security, they should consider this fact, that the senators elected to office this year will be the ones confronted with what to do about Social Security,” Boccia said.

While some members of Congress have floated bills to get a move on Social Security reform, “the vast majority of lawmakers will want to do the same thing this year that they’ve done for the last 40 years, which is simply not do anything,” Biggs said. “And I suspect they’ll keep doing nothing right until the point when they can’t do it anymore.”

Social Security losses

If the Social Security trust fund reaches insolvency, benefits will decline for an average of 1 in 5 Americans, hitting states with older populations harder.



Notes: Data is based on a 24% reduction in available funds to be paid out to Social Security retirement and survivor beneficiaries.

Source: [Committee for a Responsible Federal Budget](#)

Graphic: Ashley Mowreader / NBC News

A lack of action also risks fueling alarm among voters. When Pew Research Center asked [Americans what their greatest fears about retirement were](#), 80% of survey respondents indicated cuts to Social Security or the elimination of Social Security benefits were one of their top anxieties. More than half of workers said they’re concerned that, when they’re ready to retire, Social Security will not be there for them.

“People are really anxious,” Akabas said. “They don’t fully understand what it means necessarily, because it is complicated.”

The economists who spoke with NBC News emphasized that Social Security needs to change how it pays out higher-income beneficiaries in favor of protecting payouts for lower-income earners, preserving Social Security's model of a social safety net.

Boccia said she anticipates that Congress will avoid across-the-board benefit cuts, instead prioritizing benefits for lower-income older adults and perhaps reducing payments to higher-income earners.

Biggs, similarly, said he expects Americans in a higher income bracket to see an increase in payroll taxes or a cut to benefits in the future and should instead invest in their private retirement funds like 401(k)s or IRAs.

For those in lower income brackets, he said, "the chances that either Republicans or Democrats are going to substantially cut your benefits is practically zero."

Ashley Mowreader

Ashley Mowreader is a data graphics intern for NBC News.

Joe Murphy contributed.
